

1

Total Non-Operating Assets & Liabilities

When we look at the company's Financial Statements, current investments form a major chunk of the assets side. These have been increasing year after year but decreased in FY 2021.

On the liabilities side, we see that the short term borrowings are relatively low. Short-term provisions are almost negligible in the last few years and the liabilities are mainly from short-term bonds. In short-term borrowings, we will include the add the current maturity of long-term debt. For example, if a company has 1000 Cr debt, and out of it, 100 Cr has to be paid in the current year. In this case, this 100 Cr will be short-term in nature.

2

Short-Term Borrowings

We start with short-term borrowings first. As seen, short-term borrowings stand at 202 Cr for FY 2021.

Non-operating items-						
Short term Borrowings	74	93	115	103	144	202
Short term provisions	12	14	13	20	22	25
Non- categorized short term liabilities	13	17	14	11	37	53

Short term borrowings						
WACC for short term borrowings and repayment terms						
Short term borrowings(including current maturities)/ FCF	17.89%	-108.82%	13.82%	30.93%	10.42%	-68.23%
EBIT/ Interest costs	81.0	82.2	78.5	47.5	41.3	40.0

There is a need to look at it in a detailed manner as these affect the financial strength of the company. Short-term borrowings are usually an early indicator of any cracks developing in the financial strength of a particular company. Thus, these need to be adequately understood.

There are a few questions that need to be asked, especially in cases of companies where short-term borrowings is a large number. These are-